



INDIA'S START-UP initial public offering (IPO) pipeline is humming again at the start of this year as attractive headline valuations and a seeming revival in investor appetite prompt consumer brand names, tech platforms and late-stage unicorns to line up on Dalal Street for funds.

Outwardly, the mood is almost celebratory. However, a quieter, more consequential shift is taking place beneath the surface.

Last year, 16 start-ups raised more than ₹40,000 crore from public markets. Yet only one had a record of consistent profitability. Nearly half reported a sudden swing to profits, or a sharp compression of losses, in the run-up to listing. The rest stayed in the red.

With as many as 48 start-ups expected to file their share-sale papers with market regulator Securities and Exchange Board of India (Sebi) over the next 12–18 months, the pattern raises an uncomfortable question: are these profits truly a sign of these companies attaining maturity or merely optics—a result of last-mile financial optimisation?

“In some cases, profitability may be driven by one-off factors such as accounting adjustments; in others, it may reflect a more sustainable earnings trajectory,” says Rahul Chandra, Managing Director of venture capital (VC) firm Arkam Ventures. “The challenge and responsibility lies with investors to distinguish between the two.”

That distinction requires stripping out one-time gains and tracking operating trends to determine if profitability is durable and margins are indeed improving structurally.

FINE PRINT

Take eyewear company Lenskart, among the largest start-up listings of recent years, which tapped the market with an IPO of ₹7,278 crore in October–November 2025. In financial year 2024–25 (FY25), the Peyush Bansal-led firm reported a profit of ₹297 crore, swinging from a loss of ₹10 crore in FY24, according to Tracxn, which follows start-ups.

The numbers seemed to signal an inflection point. Yet, disclosures and media reports suggest that roughly ₹167 crore of this profit stemmed from one-time accounting gains linked to acquisition revaluations.

A closer look at operating metrics offers a more layered picture. In FY24, Lenskart’s revenue from operations rose 34% year-on-year (YoY) from ₹2,375 crore to ₹3,187 crore and expenses climbed 30% to ₹3,184 crore. In FY25, revenue growth moderated to 27%, reaching ₹4,039 crore even as expenses rose 25% to ₹3,974 crore, the company’s annual reports show.

PROFITS ON FAST-FORWARD

Some companies showed a sharp turnaround in FY25 before the public issue

Start-up	Revenue (in ₹ Crore)		
	FY23	FY24	
Groww	1,298	2,562	
Lenskart	3,928	5,610	
Urban Company	727	928	
WeWork	1,423	1,737	
Capillary Technologies	334	535	
ArisInfra	754	702	
DevX	71	112	
Wakefit	820	1,017	
Smartworks	744	1,039	
Aequs	840	988	
IndiQube	601	868	
Pine Labs	1,588	1,743	
Bluestone	788	1,303	
Physicswallah	772	2,015	
Ather Energy	1,801	1,789	
Meesho	5,889	7,845	

SOURCE TRACXN

₹3,187 crore
Lenskart’s operating revenue in FY24, up 34%; expenses climbed 30%

₹240 crore
Urban Company’s profit in FY25, from a ₹93 crore loss in FY24

